

Q4 2025 -- Data Center Momentum Building but Still Trailing NVIDIA

AMD | Advanced Micro Devices, Inc. | Technology

Analyst: James Rodriguez

Type: Earnings Review

Rating: Neutral (Maintain)

Conviction: Medium

Price Target: \$155

AMD reported Q4 2025 revenue of \$7.4B, beating consensus of \$7.1B, with data center revenue of \$4.2B (+94% YoY) as the standout. The MI300X continues to gain traction, with AMD now having shipped over \$5B of MI300 series GPUs cumulatively.

Key Positives:

Data center GPU momentum is real. AMD secured design wins at Microsoft Azure, Meta, and Oracle Cloud during Q4, and the MI325X (next-gen) is sampling well with positive early feedback on memory bandwidth improvements. The software ecosystem (ROCm) continues to mature, reducing the CUDA switching cost barrier.

PC and embedded segments are recovering. Client revenue grew 28% YoY as the PC refresh cycle gains momentum, driven by Windows 12 and AI PC demand. Embedded is stabilizing after a prolonged inventory correction.

Key Concerns:

While AMD's AI GPU business is growing rapidly, it remains roughly 1/9th the size of NVIDIA's data center revenue. The competitive gap in software ecosystem and enterprise mindshare remains wide. NVIDIA's Blackwell architecture and CUDA moat continue to be the default choice for most large-scale AI training workloads.

Margins were slightly below expectations at 52.3% gross margin (vs. 52.8% consensus), reflecting competitive pricing pressure in the GPU market and higher costs associated with advanced packaging at TSMC.

Quant composite rank: #45 (from #38). Momentum score is modestly positive (+0.5), but quality score (+0.8) trails best-in-class semiconductor peers. Value score is neutral at -0.1 given the premium multiple.

Maintaining Neutral. AMD is a solid company executing well, but the risk/reward at 35x forward earnings is balanced. We prefer NVDA within semiconductor for the Equity Strategy.